MANAGEMENT PROCESS AND ORGANIZATIONAL BEHAVIOR

UNIT II | PLANNING, ORGANIZING AND CONTROLLING

B.C.A. | Skill Enhancement Course (SEC) | Paper Code: BCAMOC0506T22 | L-T-P-C: 2-0-0-2

Syllabus Map

Syllabus topic (Unit II)	Covered in section
PLANNING: meaning, nature, planning process	1 and 2
Objectives and MBO	3 and 4
Strategies and levels of strategies	5
Policies, methods and programs	6
Planning premises	7
Decision-making, process and types of decisions	8
ORGANIZING: structure, formal and informal organizations	9 and 10
Functional, divisional, geographical, customer based, matrix, team based, virtual and boundaryless organizations	11
Principles of organizing	12
CONTROLLING: meaning, importance, process, types, factors	13, 14, 15 and 16

PART A: PLANNING

1. PLANNING: MEANING AND NATURE

Planning is deciding in advance **what to do, how to do it, when to do it and who is to do it**. It bridges the gap from **where we are** to **where we want to go**. (Koontz)

Author	Definition (in short)
Koontz and O'Donnell	Planning is deciding in advance what to do, how to do it, when to do it and who is to do it.
Billy E. Goetz	Planning is fundamentally choosing; a planning problem arises only when an alternative course of action is discovered.
Henri Fayol	The plan of action is the most important thing; to manage is to look ahead.

Nature (Characteristics) of Planning

- **Primary function:** it comes first; all other functions depend on it.
- **Goal-oriented:** aims at achieving specific objectives.
- **Pervasive:** needed at every level and in every department.
- **Continuous process:** plans are reviewed and revised regularly.

- **Forward-looking:** deals with the future; based on forecasting.
- **Decision making:** involves choosing the best from alternatives.
- **Mental exercise:** needs logical thinking, imagination and foresight.
- **Flexible:** must allow changes when the situation changes.

Importance and Limitations

Importance	Limitations
Gives **direction** and reduces uncertainty	Plans may become **rigid** and cannot adapt quickly
Avoids **waste** and overlapping of work	Based on forecasts, which may go **wrong**
Provides **standards** for control	**Costly** and time consuming
Encourages **innovation** and better decisions	Cannot work well in a **rapidly changing** environment

2. PLANNING PROCESS



Fig. 1: Steps in the planning process

Step	What happens
1. Awareness of opportunity	Look at the market, competition, own strengths and weaknesses (SWOT) before planning.
2. Set objectives	Decide what is to be achieved, for the whole organization and each unit.
3. Develop planning premises	Assume the conditions (forecasts, policies, costs) under which the plan will work.
4. Identify alternatives	List the different ways of reaching the objectives.
5. Evaluate alternatives	Compare each in terms of cost, benefit, risk and resources.
6. Select best alternative	Choose the most suitable course of action (the actual decision point).
7. Formulate supporting plans	Make derivative plans such as hiring, purchasing and training plans.
8. Quantify with budgets	Convert plans to numbers (budgets) so that resources are allocated and progress can be checked.

3. OBJECTIVES

Objectives are the **end results** which an organization wants to achieve within a stated time. They give direction to all activities.

Characteristics of good objectives (SMART)

Letter	Meaning	Example
S	**Specific**: clear and precise	Increase sales of Product A
M	**Measurable**: can be quantified	by 15%
A	**Achievable**: realistic with available resources	Based on past growth and capacity
R	**Relevant**: linked to the mission	Supports market-share goal
T	**Time-bound**: has a deadline	within the next 12 months

Importance of objectives

- Give **direction** and a common purpose to everyone.
- Act as the **base for planning** and a **standard for control**.
- Improve **motivation** and **coordination** between departments.
- Help to **evaluate performance** of individuals and units.

Hierarchy of objectives

- **Mission / purpose → Long-term goals → Departmental objectives → Individual targets**. Objectives at each level must support the level above.

4. MANAGEMENT BY OBJECTIVES (MBO)

MBO was introduced by **Peter F. Drucker** in his book *The Practice of Management* (1954). Here, **managers and employees jointly set objectives**, then performance is measured against them. George Odiorne popularised it.

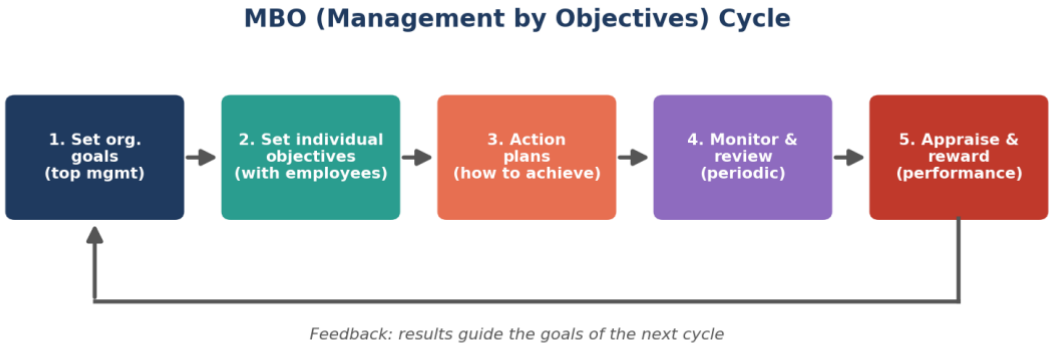


Fig. 2: MBO cycle

Features

- **Participative** goal setting between superior and subordinate.
- **Clear, measurable and time-bound** objectives.
- **Regular review** and feedback on progress.

- Performance appraisal is based on **results**, not on personality.

Benefits	Limitations
Better **motivation** and commitment	Time consuming (much **paperwork**)
Clear **role and responsibility**	Too much focus on **short-term**, measurable goals
Improves **communication** and coordination	Hard to set goals in a **changing** environment
Objective **performance appraisal**	May cause **conflict** and ignore team work

5. STRATEGIES AND LEVELS OF STRATEGY

A **strategy** is a **comprehensive, long-term plan** that decides how an organization will use its resources to meet competition and reach its objectives. It is a plan of action for dealing with the **environment**.

Features

- **Long-term** and affects the whole organization.
- Decided by **top management**; involves major commitment of resources.
- Matches **organizational strengths** with environmental **opportunities**.
- Gives **competitive advantage** over rivals.
- Needs **flexibility**: it is reviewed when the environment changes.



Fig. 3: Three levels of strategy

Level	Concern	Examples
Corporate	Overall direction, choice of businesses, growth and portfolio	Expansion, diversification, merger, divestment
Business (SBU)	How to compete and win in a particular business	Cost leadership, differentiation, focus
Functional	How each department supports the business strategy	Marketing, financial, HR and production strategies

GRAND STRATEGIES (extra points)

- **Stability** (maintain present position), **Growth/Expansion** (new markets, products), **Retrenchment** (cut down), **Combination**.
- Michael Porter's generic strategies: **cost leadership, differentiation, focus**.

6. POLICIES, METHODS AND PROGRAMS

Planning produces different **types of plans**. Together they form a **hierarchy of plans**, from broad to detailed.

Plan	Meaning	Example
Mission / Purpose	Basic reason for the existence of the organization	To provide affordable education
Objectives	End results to be achieved	Reach 10,000 students in 3 years
Strategies	Long-term plans to reach objectives	Start online courses
Policies	General **guidelines** for decision-making; give a framework for action	Promotion from within; fixed pricing
Procedures	**Step-by-step sequence** of tasks to be performed	Steps to process a loan application
Methods	The **way** in which a single step of a task is done	Using a computerised form to verify documents
Rules	Specific **do's and don'ts**; no flexibility	No smoking; wear ID cards
Programs	A **set of goals, policies, steps and resources** to carry out a given course of action	A product-launch programme; a training programme
Budgets	Plans expressed in **numbers** (money, hours, units)	Annual sales budget

Policy vs Procedure vs Rule

Basis	Policy	Procedure	Rule
Nature	General guide to thinking	Chronological steps	Specific action or ban
Flexibility	Some discretion allowed	Little discretion	No discretion
Scope	Wide	Narrower	Narrowest
Made by	Top management	Middle management	Lower and middle management

7. PLANNING PREMISES

Planning premises are the **assumptions** about the future environment in which the plan will operate. They are the **base** of planning; plans can only be as good as the premises.

Basis	Types	Examples
Source	**Internal** premises	Capital, capacity, skills of staff, policies, labour relations

Basis	Types	Examples
	External premises	Economy, inflation, technology, government policy, competition, social trends
Control	**Controllable** (by the firm)	Product mix, price, advertising
	Semi-controllable	Market share, brand image
	Non-controllable	Tax laws, weather, interest rates
Nature	**Tangible** (measurable)	Units, cost, capital, revenue
	Intangible (not measurable)	Employee morale, goodwill

EXAM TIP

- Forecasting is the basis of premises. Always say: **premises must be understood and agreed by all managers** for planning to be consistent.

8. DECISION-MAKING

Decision-making is the process of **selecting the best course of action from available alternatives**. It is the core of planning and of all managerial work. (Herbert Simon: *management is decision-making.*)

Features

- Involves a **choice** between alternatives; if only one way exists, there is no decision.
- **Goal-oriented** and **continuous** activity.
- A **mental/rational** process, influenced by values and experience.
- Needed at **every level**; its **consequences** affect the future.

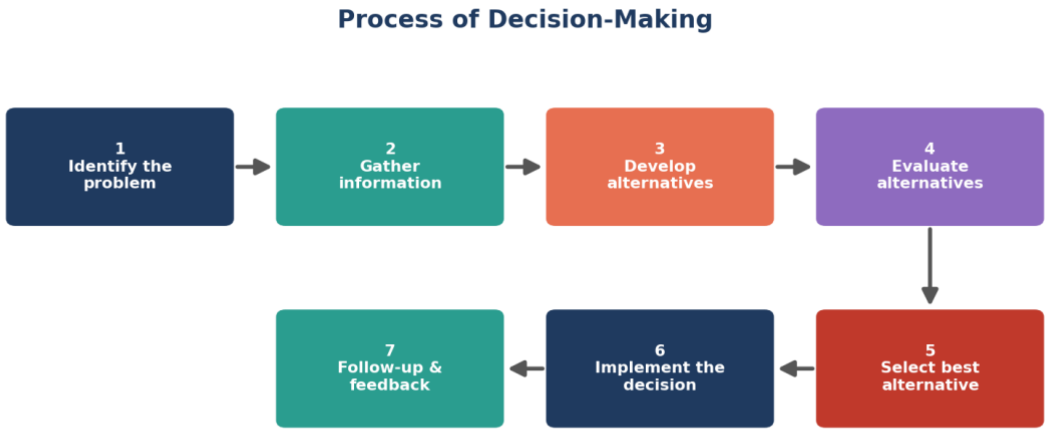


Fig. 4: Process of decision-making

Step	Explanation
1. Identify the problem	Find the real problem, not just the symptoms.
2. Gather information	Collect relevant facts and data.
3. Develop alternatives	List all possible solutions.

Step	Explanation
4. Evaluate alternatives	Weigh pros, cons, cost and risk of each.
5. Select the best	Choose the most suitable alternative.
6. Implement	Put the decision into action; communicate it to those concerned.
7. Follow-up	Check results; take corrective steps if needed.

Types of Decisions

Basis	Type	Meaning and example
Nature	**Programmed** (routine)	Repetitive decisions made by rules and procedures. E.g. issuing salary, reordering stock.
	Non-programmed	New, unusual, unstructured decisions needing judgement. E.g. entering a new market, merger.
Level	**Strategic**	Long-term, top management, high risk. E.g. diversification.
	Tactical	Medium term, middle management. E.g. departmental budget.
	Operational	Day-to-day, lower management. E.g. daily work schedule.
Persons	**Individual**	Taken by one person; quick but may be biased.
	Group	Taken by a committee or team; slower but better ideas and acceptance.
Importance	**Basic** vs **Routine**	Basic: major, long-term, costly. Routine: minor, repeated.

REMEMBER

- Herbert Simon's three phases: **Intelligence** (find problem) → **Design** (develop alternatives) → **Choice** (select). He also said managers show **bounded rationality**: they choose a **satisfactory** solution, not always the perfect one.

PART B: ORGANIZING

9. ORGANIZING AND ORGANIZATION STRUCTURE

Organizing is the process of **identifying and grouping work**, assigning duties, delegating authority and **creating relationships** so people can work together to achieve goals.

Steps in the organizing process

- **Identify and divide** the work to be done.
- **Group** similar jobs into departments (departmentation).
- **Assign duties** to individuals.
- **Delegate authority** and fix responsibility.
- **Establish reporting relationships** (who reports to whom) and coordination.

Organization structure is the **framework** that shows how tasks are divided, grouped and coordinated, and who reports to whom. It is shown by an **organization chart**.

Importance

- Clear **authority and responsibility**; avoids overlapping and confusion.
- **Specialisation** and better use of resources.
- Better **coordination and communication**.
- Basis for **growth, adaptability** and employee development.

10. FORMAL AND INFORMAL ORGANIZATIONS

Basis	Formal organization	Informal organization
Meaning	Deliberately created structure with defined roles, rules and authority	Network of social relationships that arises **naturally** among people
Origin	Created by management	Arises spontaneously from interaction
Basis	Rules, job descriptions, position	Common interests, friendship, culture
Authority	Flows from top to bottom (scalar chain)	From the group's acceptance; can be in any direction
Communication	Official channels, written	**Grapevine**: fast, oral, unofficial
Leader	Appointed manager	Emerges from the group
Control	Penalties and rewards	Social pressure and norms
Chart	Can be drawn	Cannot be drawn clearly

Informal organization: Advantages	Informal organization: Disadvantages
Fulfils **social needs**; improves morale	Spread of **rumours** through the grapevine
Supplements formal communication; **fast** information	May **resist change** and oppose management
Helps in **coordination** and teamwork	Group pressure can lower **productivity**

11. TYPES OF ORGANIZATION STRUCTURES

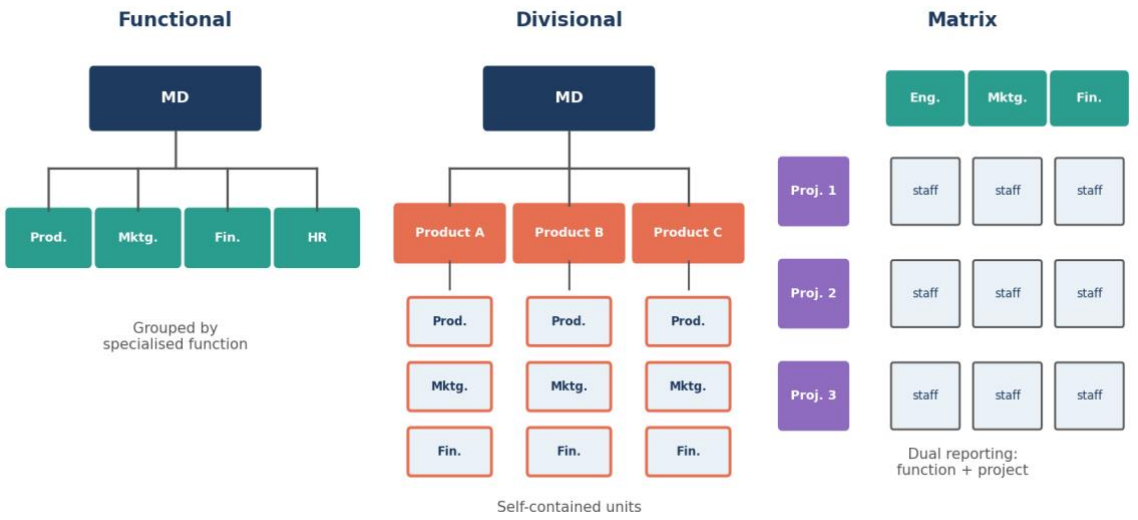


Fig. 5: Functional, divisional and matrix structures

Structure	Basis and meaning	Advantages	Disadvantages
Functional	Grouped by **function** (production, marketing, finance, HR)	Specialisation; efficient use of skills; simple; clear career path	Departments become isolated; slow coordination; top heavy
Divisional (product)	Grouped by **product or market**; each division is self-contained	Focus on product; fast decisions; easy to measure results; develops general managers	Duplication of resources; higher cost; rivalry between divisions
Geographical	Grouped by **location** (North, South, East, West zones)	Local knowledge and quick response; suits large spread	Duplication; control from HQ is hard; inconsistency across regions
Customer based	Grouped by **type of customer** (retail, corporate, government)	Meets specific customer needs; better service and loyalty	Duplication; conflict in priorities; needs coordination
Matrix	**Dual authority**: functional plus project/product manager; employee has two bosses	Flexible; uses specialists well; good for projects; better communication	Violates unity of command; confusion and conflict; costly
Team based	Organized around **teams** (cross-functional) that handle whole processes	Empowerment; faster decisions; creativity and motivation	Role conflict; time spent on meetings; needs team skills
Virtual	Small core staff; **outsources** many functions; connected by **IT/internet** (e.g. e-commerce firms)	Low cost; flexible; global talent	Less control; trust and security issues; weak loyalty
Boundaryless	Removes vertical (hierarchy) and horizontal (department) and **external** boundaries; free flow of ideas (e.g. GE's concept by Jack Welch)	Fast, flexible, learning culture; speeds innovation	Needs high trust and technology; possible role confusion

EXAM TIP

- Matrix is called the **'two-boss' structure**. For 'boundaryless', remember the three boundaries: **vertical, horizontal, external**.
- Virtual organization = **network organization** (uses IT and outsourcing).

12. PRINCIPLES OF ORGANIZING

Principle	Meaning
Unity of objective	All parts of the organization should work towards the same common goals.
Specialisation / division of work	Divide work by skill so each person does the job he or she is best at.
Unity of command	A subordinate should report to **only one** superior.
Scalar chain	Clear line of authority from the top to the lowest level.

Principle	Meaning
Span of control	Number of subordinates one manager can effectively supervise (about 5 to 8 at the top; wider at the bottom).
Authority = Responsibility	Authority given must be equal to the responsibility assigned.
Delegation	Authority is passed down so decisions are made at the proper level; **accountability** cannot be delegated.
Balance	Balance between centralisation and decentralisation, and between units.
Flexibility	Structure should adapt to change.
Continuity	The organization should keep surviving and adjusting as it grows.
Efficiency	Achieve objectives at the lowest cost.
Communication	Clear channels for information in all directions.

EXTRA POINT: SPAN OF CONTROL

- **Narrow span:** few subordinates, **tall** structure (many levels), close supervision.
- **Wide span:** many subordinates, **flat** structure (few levels), more delegation and faster communication.

PART C: CONTROLLING

13. CONTROLLING: MEANING AND IMPORTANCE

Controlling is the process of **measuring actual performance, comparing it with planned standards and taking corrective action** to ensure that objectives are achieved.

Author	Definition (in short)
Henri Fayol	Control consists of verifying whether everything occurs in conformity with the plan adopted, instructions issued and principles established.
Koontz and O'Donnell	Controlling is the measurement and correction of the performance of subordinates to make sure that enterprise objectives and plans are accomplished.

Features

- **Goal-oriented** and **continuous** process.
- **Pervasive**: needed at all levels and in all functions.
- **Forward-looking**: past mistakes are corrected to improve the future.
- Closely linked to **planning**: planning sets standards, controlling checks them.
- Both a **positive** (guides) and **negative** (detects errors) function.

Importance

- Helps **accomplish organizational goals**.
- Gives **standards** and a basis for judging **performance**.
- Makes **efficient use of resources**; reduces waste.
- Improves employee **motivation, discipline and order**.

- Ensures **coordination** of action and helps in decentralisation.
- Reduces **risk** by detecting problems early.

PLANNING vs CONTROLLING

- Planning and controlling are **'Siamese twins'**: planning without controlling is **meaningless**, and controlling without planning is **impossible**.

14. CONTROLLING PROCESS

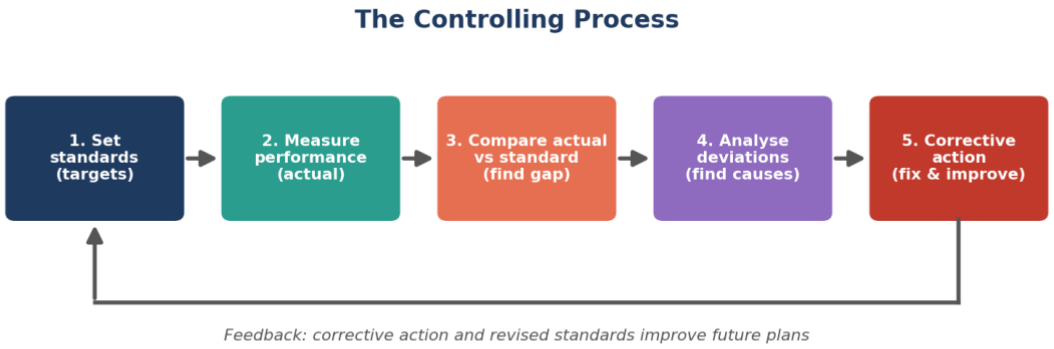


Fig. 6: The controlling process

Step	Explanation	Example
1. Set standards	Fix targets and benchmarks for performance (quantity, quality, cost, time).	Produce 500 units per day
2. Measure performance	Measure actual results through reports, observation, inspection, sampling.	Actual output 450 units
3. Compare actual with standard	Find the gap between standard and actual.	Shortfall of 50 units
4. Analyse deviations	Find causes. Focus on **critical** deviations (management by exception).	Machine breakdown
5. Take corrective action	Fix the problem, or revise the standards if they were unrealistic.	Repair machine; train staff

KEY CONCEPTS

- **Management by exception:** only **significant deviations** are brought to top management's notice.
- **Critical point control:** concentrate on **key result areas**, not on every small activity.

15. TYPES OF CONTROL

Type	When it works	Meaning	Example
Feedforward (preliminary / pre-action)	**Before** the work begins	Prevents problems by checking inputs and anticipating errors	Checking quality of raw material; selecting trained staff
Concurrent (steering / real-time)	**During** the work	Monitors and corrects activities as they happen	Supervisor guiding workers; real-time quality checks
Feedback (post-action)	**After** the work is done	Measures the results and uses the lessons for future work	Final inspection; sales variance report; audit

Other classifications and techniques

- **By level:** strategic (top), tactical (middle), operational (lower) control.
- **By nature: preventive** (stop errors in advance) and **corrective** (fix errors after they occur).
- **Traditional techniques:** personal observation, statistical reports, **budgetary control**, break-even analysis, ratio analysis, internal audit.
- **Modern techniques: PERT/CPM**, MIS, Return on Investment (ROI), Balanced Scorecard, Total Quality Management (TQM).

16. FACTORS INFLUENCING CONTROL EFFECTIVENESS

For control to work well, it should have these qualities:

Factor	Meaning
Suitability	Control should match the nature and needs of the activity and organization.
Timeliness	Deviations must be reported in time so action can be taken quickly.
Flexibility	Control must adapt to changes in plans and environment.
Economy	Cost of control should be **less than** the benefit it gives.
Understandability	Standards and reports should be simple and clear to all.
Objectivity	Fair standards based on facts, not on personal judgement.
Focus on critical points	Concentrate on key areas where deviations matter most.
Corrective action	Control must point to who is responsible and what to do.
Forward-looking	Should anticipate problems, not just report past errors.
Integration with planning and structure	Linked to plans, and fitted to the organization structure and responsibilities.
Employee acceptance (behavioural factor)	Employees should accept and participate in the control system; resistance reduces effectiveness.

Limitations of control

- Difficult to set **quantitative** standards for intangible things (morale, creativity).
- **Little control** over external factors (government policy, competition).
- **Resistance** from employees (feel watched).
- **Costly** and time consuming.

17. QUICK REVISION AND IMPORTANT QUESTIONS

Topic	Remember
Planning	Primary function; deciding what, how, when, who; 8 steps
MBO	Peter Drucker (1954); participative goal setting; 5-step cycle
Strategy levels	Corporate, Business, Functional
Policy / Procedure / Rule	Guide to thinking / steps in order / strict do's and don'ts
Premises	Assumptions; internal-external; controllable and non-controllable
Decisions	Programmed vs non-programmed; strategic, tactical, operational
Structures	Functional, divisional, geographical, customer, matrix, team, virtual, boundaryless
Formal vs informal	Created by management vs arises naturally (grapevine)
Control process	Standards → Measure → Compare → Analyse → Correct
Types of control	Feedforward (before), Concurrent (during), Feedback (after)

Likely exam questions

1. Define planning. Explain its nature and importance.
2. Explain the planning process with a diagram.
3. What is MBO? Explain its process, benefits and limitations.
4. Explain levels of strategy.
5. Differentiate between policy, procedure, method and rule. Explain programs.
6. What are planning premises? Explain their types.
7. Explain the decision-making process and the types of decisions.
8. Differentiate between formal and informal organization.
9. Explain the functional, divisional and matrix structures with advantages and disadvantages.
10. Write notes on virtual and boundaryless organizations.
11. Explain the principles of organizing.
12. What is controlling? Explain the controlling process and its types.
13. Explain the factors that influence control effectiveness.

All the best for your exams!